



DRAFT VISUAL • SOURCE STATUS RETAINED • NOT AN EXECUTED ORIGINAL

ARU share purchase, closing and tax bridge

SH-LEGAL-READ-ARU-001 · Reviewed September 12, 2026

LOCKED CASE TERMS; tax filing not established

Parties and close

SHIH acquires all ARU shares January 7, 2026 from Fred 60%, Adele 20%, Nora 10%, Seth 10%; no rollover, earn-out or statutory merger. Nora and Seth continue as employees.

EV and consideration

\$62M EV – \$16M gross debt + \$3.5M cash = \$49.5M seller equity value. After \$1.5M excess-cash distribution, buyer consideration is \$48M: \$45M direct plus \$3M escrow.

Funding and leases

\$13.5M old debt payoff plus \$48M consideration = \$61.5M before fees, funded by \$22.5M new term debt and \$39M parent equity. Fees add \$0.9M expense and \$0.3M debt costs. \$2.5M leases remain and are not paid off twice.

Adjustment and protection

\$4.5M working-capital peg excludes cash, debt/leases, income tax and separately scheduled reserves/claim. Closing statement: 60 days; seller objection: 30 days. General survival 18 months; environmental survival five years.

Tax boundary

Intended joint §338(h)(10) case retains synthetic eligibility facts and conditional PPA/tax allocation. ARU-CL-07 is filing-ready March 2; actual IRS submission/acceptance is not established.

Accounting and record trace

Reconcile native stock basis, retained liabilities, book PPA and independent tax allocation; keep seller excess cash, fees, retention, consultancy and separate \$11M catch-up capital out of stock consideration.

SH-IND-ARU-SPA-001 · SH-IND-ARU-CLOSE-001 · SH-IND-ARU-TAX-001 · SHIH · ARU · BST

Missing evidence and limits

No IRS filing proof, actual lender confirmation, title/lien release or independently appraised PPA is supplied. Use the source tax memorandum as a dated case record, not a current professional opinion.

Controlling source paths

industrial/transaction/04_ARU_APPROVAL_AND_PURCHASE_AGREEMENT.md

industrial/transaction/05_ARU_CLOSING_AND_TAX_DELIVERY.md

industrial/transaction/07_ARU_TAX_STRUCTURE_MEMORANDUM.md